

MERGERS AND ACQUISITIONS

Merger and acquisition is a form of business combination whereby two or more companies join together to become one enlarged surviving company. It can also be described as an arrangement in which the assets, liabilities and businesses of two or more companies are vested in and carried on by one company which may or may not be one of the merging companies.

(a) Horizontal merger: This involves a merger involving companies in the same line of business (producing similar goods or providing similar services) e.g. merger of two banks (former Chartered Bank and IBTC merged to become Stanbic IBTCBank Plc.)

(b) Vertical merger: A merger between two businesses in the same industry where one company supplies goods to the other company. An example is a soft drink company merging with a bottle making company.

(c) Acquisition: Acquisition is said to involve the purchase of all or majority of the equity shares of one or more companies by another company: Where A limited acquires more than 50% of the equity shares of companies B & C, these B & C become subsidiaries of A, and A becomes the holding company.

BENEFITS OF MERGERS AND ACQUISITIONS

A well consummated merger and acquisition exercise can lead attainment of the following benefits:

- a. Improved management;
- b. Operating economies (Economies of Scale);
- c. Growth;
- d. Tax shield;
- e. Increased market power;
- f. Improved financing; and
- g. Diversification and risk reduction.

MERGERS AND ACQUISITIONS – POWERS OF FEDERAL INLAND REVENUE SERVICE (FIRS)

The consent of the Federal Inland Revenue Service, including clearance with respect to any capital gains tax that may be due and payable, must be obtained before any merger, take-over, transfer or restructuring of a trade or business carried on by a company can take place. The Companies Income Tax Act (CITA) gave the FIRS powers to the extent that no merger can be consummated without obtaining the consent or direction of the FIRS. Under CITA, no merger, take-over, transfer or restructuring of the trade or business carried on by a company can take place without having obtained the FIRS's direction and clearance with respect to any tax that may be due and payable.

TAX IMPLICATION OF MERGERS, ACQUISITIONS AND TAKEOVERS

The tax implications of amalgamation, absorption and takeovers, depend on the particular type of arrangement effected by the companies and the result of such arrangement. The common possibilities are as follows:

New company takes over an existing company

Where a new company takes over an existing or old company, the old company is deemed to have ceased business while the new company is deemed to have commenced a new business. The cessation rules will apply to the old company, while the commencement rules will apply to the new company. For the new company, the following will also be applicable:

i. **Filing of annual returns** – The new company that emerges from a merger process is expected to file audited accounts and returns with the FIRS within eighteen months from the date of its incorporation or not later than six months after the end of its first accounting period, whichever is earlier. Meanwhile, it should be noted that a mere change of name of an existing business entity does not constitute a new company. Such companies will continue to be treated as old businesses on ongoing concern basis.

ii. **Basis of assessment** – The commencement rules will apply to the new company and possibility of exercising the right of election.

iii. **Claim of capital allowances** – No initial or investment allowance will be claimed on the transferred assets. The annual allowance claimable will be based on the tax written down value of the transferred assets.

iv. **Unabsorbed losses and capital allowances brought forward** – The unrelieved losses and unabsorbed capital allowances of the individual merging companies will not be allowed to be carried forward and set off against the assessable profits of the new company after the merger. However, the utilised capital allowances may be added to the tax written down value of the assets taking over for annual allowance purposes in the enlarged entity.

v. **Stamp duties** – Stamp duty payment will arise on the share capital of the new company. If a merger also results in increase in share capital, stamp duty will be paid on the increase in share capital. Besides, merger of companies will also involve the sale/transfer of assets of the merging companies to the new company, necessary transfer or sale documents must be prepared to reflect the change of title. Stamp duties will be paid on documents perfecting these titles in accordance with the Stamp Duties Act.

vi. **Merger cost** – There are some costs which are incurred in the merger process due to the involvement of professionals and regulatory agencies, for example, financial advisers, solicitors, stockbrokers, estate valuers, issuing houses, corporate affairs commission, Nigerian Stock Exchange, Securities and Exchange Commission. The FIRS may seek to disallow these expenses on the basis that they are capital in nature and as such not tax deductible.

vii. **Value added tax and withholding tax** – The fees paid to the professionals for services rendered in connection with the merger will attract value added tax and withholding tax at the appropriate rates.

viii. **Guarantee or security for payment of tax** – The FIRS may require the new company to guarantee or give security to the satisfaction of the FIRS, for the payment in full of all tax due or to become due by any of the ceased companies.

ix. **End of service award** – When companies merge, the services of some employees may no longer be needed. The new company may have to pay benefits such as gratuity, compensation for loss of employment and other retirement benefits. These expenses will be treated as allowable for the new company.

An existing company absorbs another existing company

Where an existing company absorbs another existing company:

i. The company absorbed will be deemed to have ceased business and the cessation rules will apply to it. The company that absorbs will not be deemed to have commenced a new business as far as the nature of business carried on by it before and after the absorption is not different from that of the company absorbed or taken over. Therefore, commencement provision will not apply to it and tax returns will be filed as an ongoing company. This is what happened when MTN absorbed

Visafone. MTN was treated as an ongoing company while cessation was applied to Visafone.

ii. The surviving company will not be entitled to investment allowance and initial allowance on the assets transferred to it. The annual allowance claimable will be based on the tax written down values.

iii. The unabsorbed losses and capital allowances of the individual merging companies may not be allowed to be carried forward and set off against the assessable profits of the surviving company after the merger

iv. Fees payable for professional services in connection with the merger or consolidation will be subject to VAT and WHT.

v. Any increase in share capital as a result of a merger will attract payment of stamp duties.

Merger resulting in the cessation of business of the merging companies

Where a merger results in the cessation of business of all the merging companies:

The cessation provisions will apply to those companies which have ceased business permanently.

- i. Any unrelieved capital allowances at cessation can be carried backward and set off against assessable profit of five years preceding the year of cessation.
- ii. Any unrelieved losses at cessation cannot be carried backward to be set off against the assessable profits of the preceding years of assessment.
- iii. Any sum received or paid by the company, its receivers or liquidators after the date of cessation will be deemed to have been received or paid on the last day before such cessation occurred.

Trade or business sold or transferred: Section 29 (9)

If a trade or business is sold or transferred to a Nigerian company together with any asset employed therein and the Revenue Service is satisfied that one of the companies has control over the other or that both are controlled by some other person or are members of a recognised group of companies, the Revenue Service may at its discretion direct that:

(a) The commencement and cessation provisions are not applied;

(b) For capital allowances purposes, the assets sold or transferred shall be deemed to have been sold for an amount equal to the residue of qualifying expenditure thereon on the day following such sale or transfer; and

(c) The company acquiring the assets shall not be entitled to any initial allowance thereon and shall be deemed to have received all allowance already granted to the vendor company up to the date of the sale or transfer. There is no reference to unutilised losses incurred in the old trade. Such losses cannot be transferred to the new business and may not be relieved in any other way. Any company planning a reorganisation that will involve transfer of business from one subsidiary to the other within the group, will need to consider this fact.

That is, the unabsorbed losses on the date of the transfer or sale of the business cannot be transferred to the new business. A way out is to leave some business in the old trade that will produce small profits annually which will gradually use up the losses over a number of years, before that part of the trade is transferred to the new trade.

Reconstituted companies: section 29(10)

Where in pursuance of Chapter 3 of Part II of the Companies and Allied Matters Act, a company – “the reconstituted company” – is incorporated to carry on a trade or business previously carried on by a foreign company, and the assets employed by the foreign company in that trade or business vest in the reconstituted company, then the following provisions shall apply:

- (a) The commencement and cessation provisions shall not apply to the reconstituted company;
- (b) The assets vested in the reconstituted company shall be deemed to have been sold to it, on the day of incorporation of that company, for an amount equal to the residue of qualifying expenditure thereon, on the day following the cessation of the foreign company’s trade;
- (c) The reconstituted company shall not be entitled to any initial allowance on those assets and shall be deemed to have received all capital allowances granted the foreign company on those assets;
- (d) Unrelieved losses of the foreign company on the date of the reconstitution, shall be deemed to have been incurred by the reconstituted company in its trade or business during the first year of assessment and shall be deductible from its assessable profits. Losses arising from damages caused by any civil war, cannot be so transferred to the reconstituted company except with the approval of the Federal Executive Council. It is also to be noted, that a claim for the deduction of such losses, must be lodged with the Director of the Industrial Inspectorate Division of the Federal Ministry of Industries, with a copy to the Revenue Service within three years of the incorporation of the reconstituted company; and
- (e) Deduction of such losses is to be made from the assessable profits, if any, of the reconstituted company, for the first year of assessment and so far as it cannot be so made, then from the amount of the assessable profits of the year of assessment and so on, up to the fourth year after the commencement of such business. The foregoing will only be applicable, if the Revenue Service is satisfied that the trade or business carried on by the reconstituted company immediately after its incorporation, is not substantially different in nature from that previously carried on in Nigeria by the foreign company.

Advise on entities involved in business re-organisation and restructuring on :

Tax concessions:

Where there is business re-organisation and restructuring (i.e. sale or transfer) among entities that are related, the following tax concessions are applicable:

- i. The commencement and cessation provisions are not applied;
- ii. For capital allowances purposes, the assets sold or transferred shall be deemed to have been sold for an amount equal to the residue of qualifying expenditure thereon on the day following such sale or transfer; and

iii. The company acquiring the assets shall not be entitled to any initial allowance thereon and shall be deemed to have received all allowance already granted to the vendor company up to the date of the sale or transfer;

(iv) There is no reference to unutilised losses incurred in the old trade. Such losses cannot be transferred to the new business and may not be relieved in any other way. Any company planning a reorganisation that will involve transfer of business from one subsidiary to the other within the group, will need to consider this fact. That is, the unabsorbed losses on the date of the transfer or sale of the business cannot be transferred to the new business. A way out is to leave some business in the old trade that will produce small profits annually which will gradually use up the losses over a number of years, before that part of the trade is transferred to the new trade.

Conditions to be met before qualifying for such tax concessions:

The Finance Act, 2019 introduced Amendment to Section 29(9) of CITA to the effect that:

☑ Qualification for exemption from commencement and cessation rules in a business restructuring amongst related parties to now include requirements to be related for a period of at least one year prior to the restructuring.

☑ No disposal of assets post restructuring until after one year.

☑ flouting of this provision will lead to a revocation of the exemption.

The main highlights

(a) Emergence of a new company

i. Rendition of annual returns

ii. Commencement rules under Section 29(3) applies

iii. Claim of allowances

iv. Unabsorbed losses and un-utilised capital allowances brought forward

v. Taxes and related expenses

☑ Stamp Duties

☑ Fees for SEC, NSE, CBN, land authorities, professional fees etc. may have to be capitalised

☑ Professional fees is liable to Value Added Tax

☑ Professional fees will be subjected to withholding tax deductions

(b) Where one of the merging companies survives with its old name or a new name

i. Surviving company must file returns not more than six months after the end of its accounting year

- ii. Commencement rules will not be applicable
- iii. No investment allowance on assets transferred
- iv. No initial allowance on assets transferred
- iv. Claim of annual allowance on tax written down value (TWDV) of the assets inherited
- v. Not to inherit the unabsorbed losses and unutilised capital allowance of the merger except there is evidence the company is reconstituted
- vi. Fees to be liable to VAT and WHT
- vii. Stamp duties to be paid on increase in share capital

(c) Where cessation of business occurs for any of the merging companies

- i. Cessation rule as applicable under Section 29(4) of CITA
- ii. Cessation may not be applicable where the merging companies are connected in line with the service discretionary powers under Section 29(9) of CITA
- iii. Cessation may not be applicable where a reconstituted company is formed to take over the trade or business formerly run by its foreign parent company.

(d) Capital gains tax

Where the shares of the acquirer are issued in exchange for the shares of the acquired company (i.e. share for share exchange), the transaction is exempted from capital gains tax. However, where Shareholders are either wholly or partly paid in cash for surrendering their shares in the ceased business, the gains arising from such cash payment will be subject to Capital Gains Tax (CGT) contrary to the provision of Capital Gains Tax Act which exempted gains from disposal of stocks and shares from CGT effective 1st January 1998.

Tax planning options under mergers, acquisition and takeovers

In mergers, acquisition and takeover of business, the following tax planning options should be taken into consideration:

- i. Merger consideration pay off by shares are not liable to capital gain tax, as provided in the provisions of Capital gains Tax Act of 2004 CAP CI LFN. Therefore, where consideration is to be offered, it should be in shares.
- ii. Whether the merger is between related or unrelated companies, where the assets of the companies are taken over at market values, capital allowance will be claimable on the transferred value, as against the tax written down values, with the consent of the FIRS

iii. Where the new company is deemed to have commenced a new business, the taxpayer's option (i.e. right of election) under the provisions of Companies Income Tax Act (CITA) should be applied, where it is favourable to the company.

iv. Where the new company is deemed to be continuing in business, any unrelieved loss of the individual companies can be carried forward by the new company.

v. Where there is reinvestment of proceeds of sales of assets, roll over relief can be claimed.